

Valuation Memo, CDSL

DCF Valuation

Forecast assumptions

Assumption	Base case
FY27E–FY31E revenue growth	13.0% p.a.
FY26 revenue base	₹960.45 crore
EBITDA margin	68.49% in FY26, declining to 57.24% by FY31E
D&A / Revenue	3.94%
Capex / Revenue	9.20%, excluding FY23 outlier
Tax rate	25.17%
Change in working capital	Assumed nil in forecast
Terminal growth	5.00%

WACC

Input	Value
Risk-free rate	6.91%
Beta	0.39
Equity risk premium	7.31%
Cost of equity	≈9.76%
Debt / Value	≈0.01%
Equity / Value	≈99.99%
WACC	≈9.76%

Interpretation: CDSL is effectively debt-free, so the WACC is approximately its cost of equity.

DCF value

DCF component	Value
PV of FY27E–FY31E FCFF	₹1,929.40 crore
Terminal value	₹13,515.55 crore
PV of terminal value	₹8,483.77 crore
Enterprise value	₹10,413.17 crore
Cash less debt	₹807.00 crore
Equity value	₹11,220.17 crore
Diluted shares	20.90 crore

DCF implied value / share	₹536.85
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DCF conclusion: At ₹536.85 per share, the DCF is materially below the current market price of ₹1,414.70, implying approximately 62.05% downside under the model assumptions.

Peer selection

Selected peer: NSDL, the closest listed direct comparable to CDSL in India's depository market. The peer set is limited to one direct comparable, so the result should be treated as a cross-check rather than a statistically broad peer valuation.

Multiples

Metric	CDSL	NSDL	Peer median used
P/E	63.15×	50.98×	50.98×
EV / EBITDA	43.72×	28.83×	28.83×
EV / Sales	29.94×	20.78×	Not used
P / Book	14.83×	6.90×	10.87×

Implied valuation

Method	Calculation	Implied price
P/E	FY26 EPS ₹22.40 × 50.98×	₹1,141.95
EV / EBITDA	FY26 EBITDA ₹657.90 cr × 28.83×, less net debt	₹945.89

Comparable valuation conclusion: Both peer-based methods produce values below the current price. P/E gives the higher implied value at ₹1,141.95, while EV/EBITDA gives ₹945.89. The difference reflects the fact that the two methods focus on different measures of profitability and capital structure.

Final valuation view

Measure	Value / share	Vs current price
Current market price	₹1,414.70	—
DCF	₹536.85	-62.05%
Comparable, P/E	₹1,141.95	-19.28%
Comparable, EV/EBITDA	₹945.89	-33.13%
Reasonable valuation range	₹950–₹1,100	-22.25% to -33.20%

Key assumptions

- Revenue grows at 13% annually from FY27E through FY31E.
- EBITDA margin gradually compresses from 68.49% in FY26 to 57.24% in FY31E.
- WACC is approximately 9.76% and terminal growth is 5.00%.
- Capex is normalised to 9.20% of revenue and working-capital investment is assumed to be nil.
- NSDL is used as the sole direct peer for comparable valuation

Reasons the valuation could be wrong

1. Growth may be stronger than assumed.

CDSL's dominant market position and continued dematerialisation/capital-market growth could support revenue growth above the 13% base case, raising DCF value.

2. Profit margins and capital intensity may differ.

The DCF assumes sustained EBITDA-margin compression and 9.20% capex/revenue. If margins remain stronger or capex is lower, free cash flow could be materially higher.

3. Market multiples may not converge to NSDL's level.

CDSL may deserve a premium or discount to NSDL because of differences in growth, profitability, market share, liquidity and investor expectations. The one-peer sample also limits the robustness of the comparable valuation.

Overall view: The current price of ₹1,414.70 appears demanding relative to both the DCF and peer-based valuations. A reasonable valuation range of ₹950-₹1,100 is below the current market price. However, the conclusion is sensitive to long-term growth, margins, capital expenditure and the valuation multiple investors are willing to pay